Capstone Project On 'Snitch - Discover your style'

What is Snitch..?



Snitch is a rapidly growing fashion apparel brand for men, founded in 2019 by Siddarth Dungarwal, a Bengaluru-based entrepreneur. Originally a B2B company, Snitch transitioned to a direct-to-consumer (D2C) model following the COVID-19 pandemic. This shift significantly increased their market share and popularity, bolstered by an investment from **Shark Tank India**.

BRIEF ABOUT THE SNITCH

Total Funding	Latest Funding Round	Post Money Valuation	Investors
$13.5M	$13.3M	$62.2M	IvyCap Ventures
in 2 rounds	Series A, Dec 02, 2023	as on Dec 02, 2023	& 9 more

Ranked	Employee Count	Similar Companies
3rd	229	Bonobos
among 776 active competitors	as on Jun 30, 2024	& 553 more

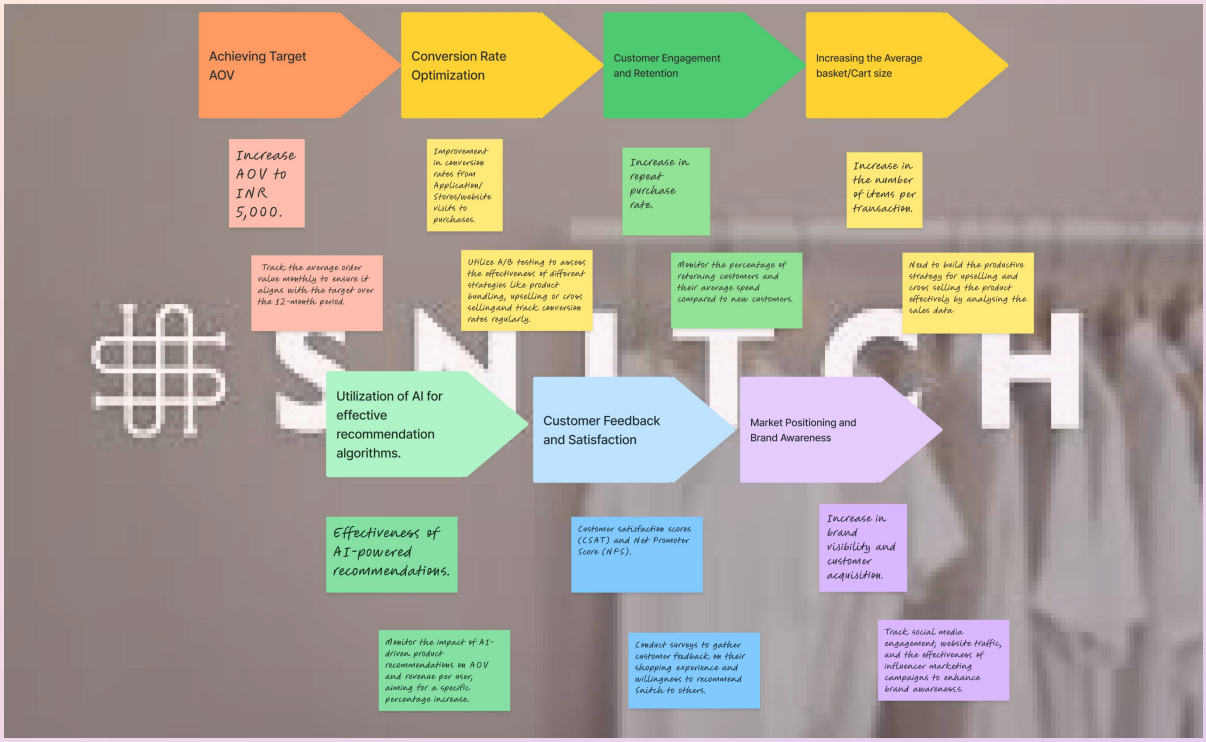
What is the Problem statement?

Snitch aims to increase its Average Order Value (AOV) from INR 2,500 to INR 5,000 within the next 12 months. A higher AOV will also play a crucial role in driving up Customer Lifetime Value (CLTV) by encouraging customers to spend more per transaction, thus maximizing revenue per customer.

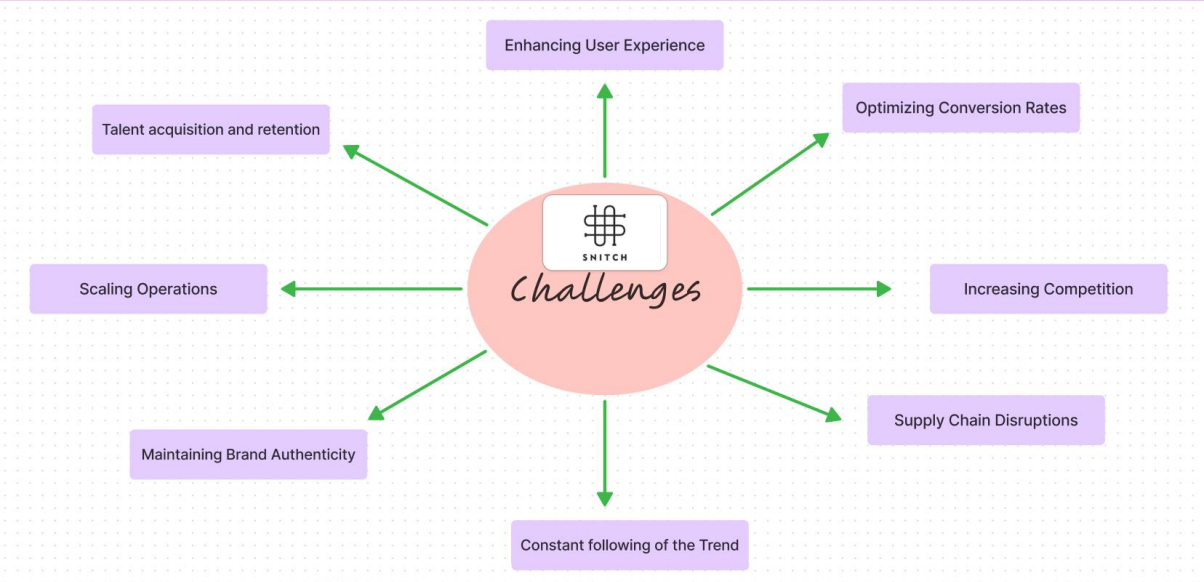
What are the Goals?

- Achieve higher AOV (From INR 2500 to 5000)
- Enhance CLTV by encouraging higher spending per transaction.
- Maximize revenue per customer.

Success Criteria , Metrics and measurements :



Challenges in-front of Snitch:



Problem and User research

Competitive analysis:

It provides valuable insights into the current market share and highlights areas where there is potential for improvement.

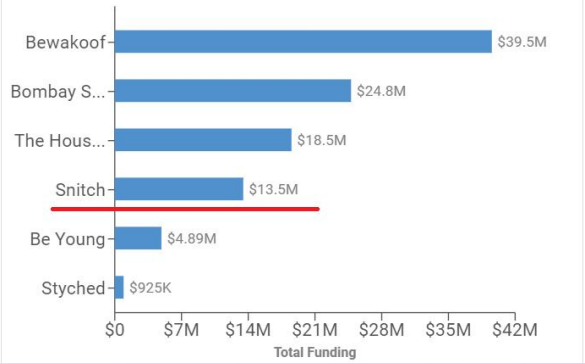
Competitive Landscape of Snitch

Rank	Active Competitors	Funding of competitors of Snitch
3rd	776	$431M
Among 776 active Competitors	38 Funded / 24 Exited / 13 Public / 11 Acquired	91 Funding Rounds

Competitor Analysis of Snitch

How much funding have Snitch's competitors raised?

Snitch's competitors have raised a total of $431M funding across 91 funding rounds. See the distribution of funded competitors of Snitch below.



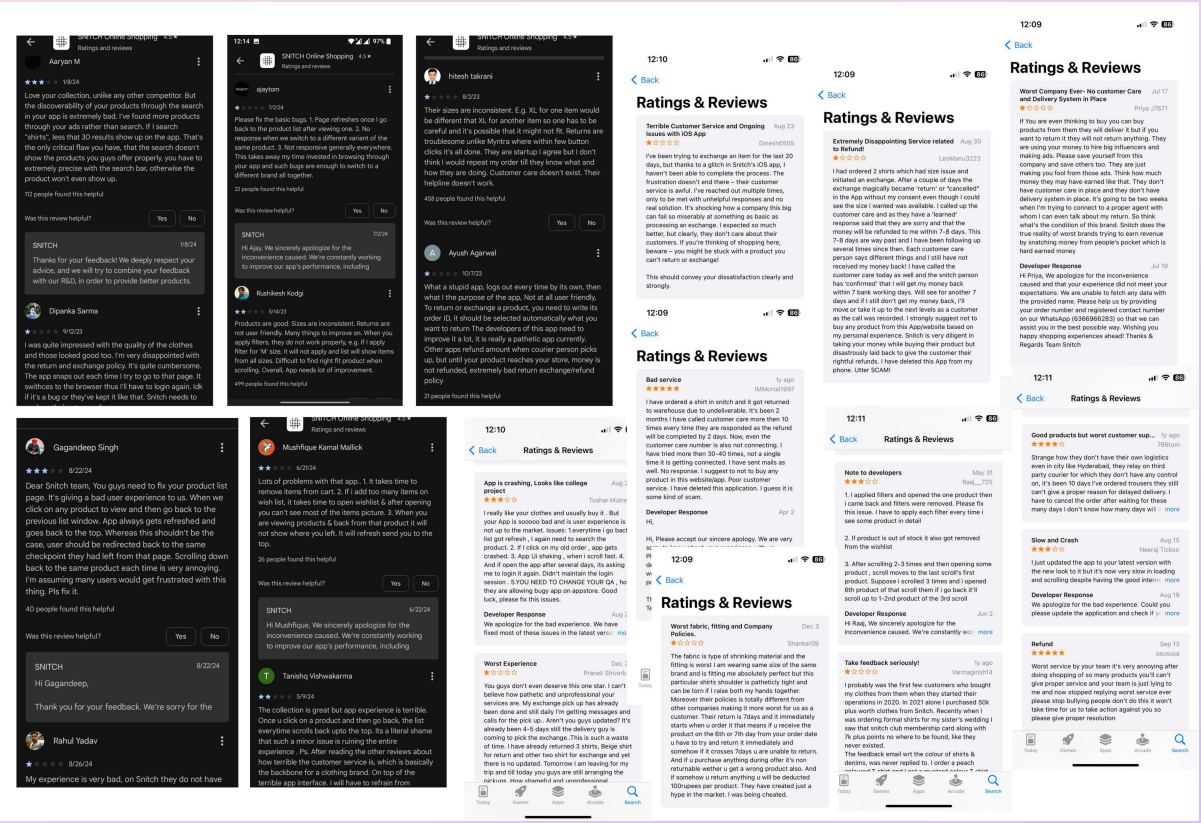
Company name	Total Funding	Founded Year
Bewakoof	$39.5M	2011
Bombay Shirt Company	$24.8M	2012
The House Of Rare	$18.5M	2007
Snitch	$13.5M	2018
Be Young	$4.89M	2017
Styched	$925K	2019

How Bewakoof is doing better?

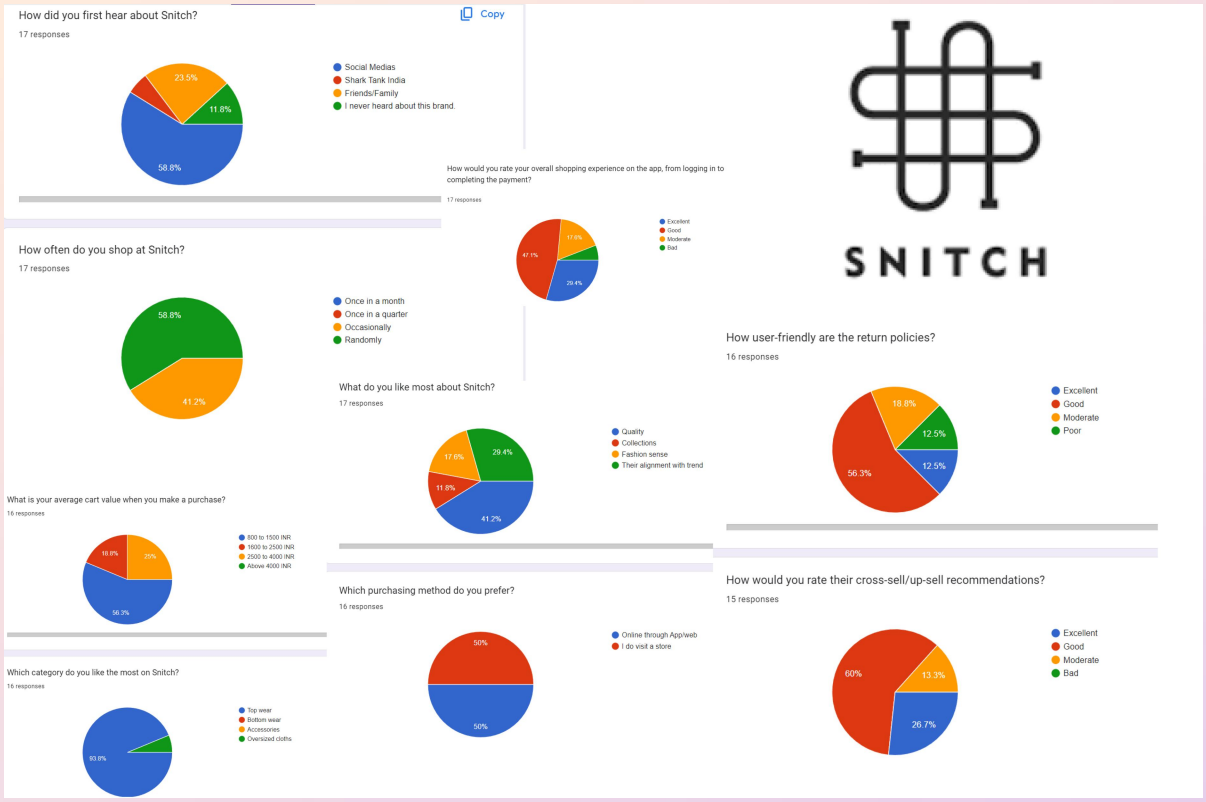
Bewakoof has established itself as a formidable competitor in the fashion retail market, particularly against brands like Snitch. Here are the key factors contributing to Bewakoof's success:

- **Market Leadership:** Bewakoof has pioneered the online fashion category in India, achieving strong brand recognition and loyalty.
- **Diverse Product Range:** The brand offers a wide array of stylish and contemporary apparel catering to various tastes.
- **Operational Efficiency:** Bewakoof boasts a robust operational framework with efficient delivery systems and value-added services.
- **Growth-Oriented Approach:** Backed by significant funding, Bewakoof focuses on aggressive expansion plans.
- **Customer-Centric Philosophy:** The brand prioritizes customer satisfaction by actively engaging with its audience.
- **Affordability:** Bewakoof offers trendy apparel at affordable prices, attracting price-sensitive young consumers.
- **Seasonal Promotions:** The brand leverages seasonal offers and discounts to stimulate purchases and create urgency.

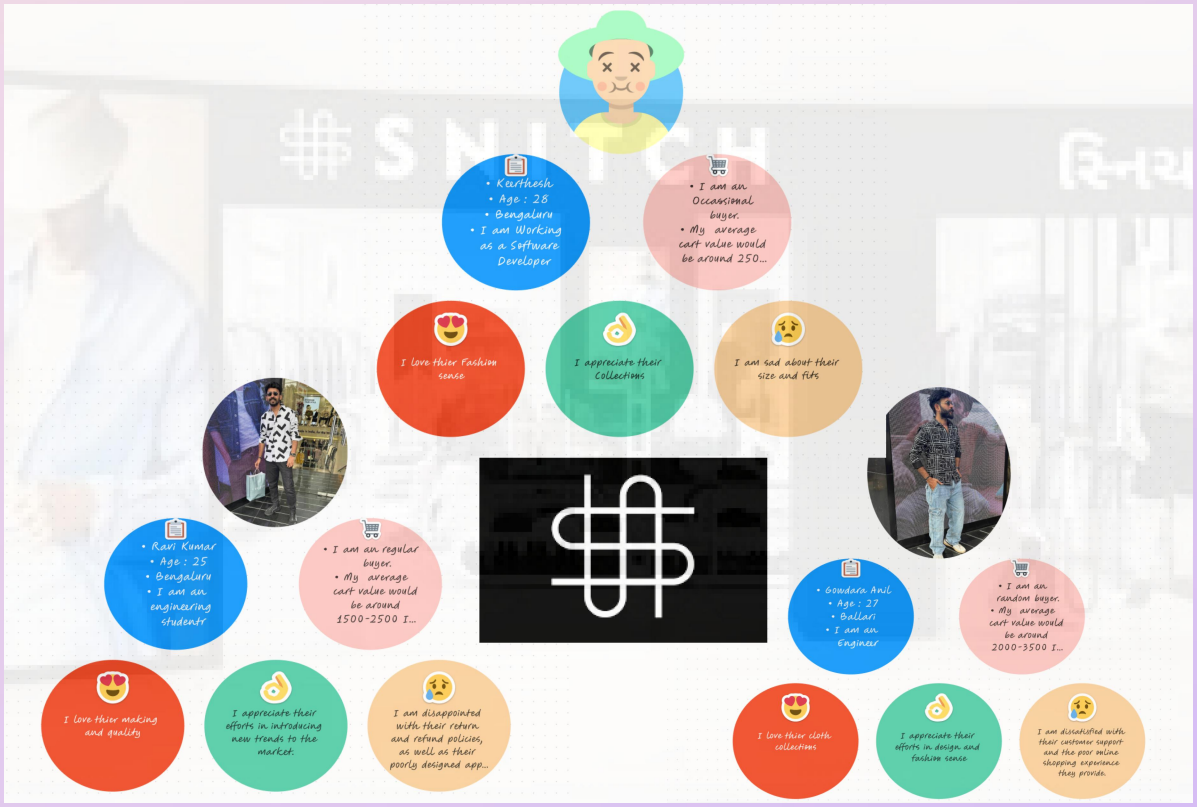
User reviews from App and Play store :



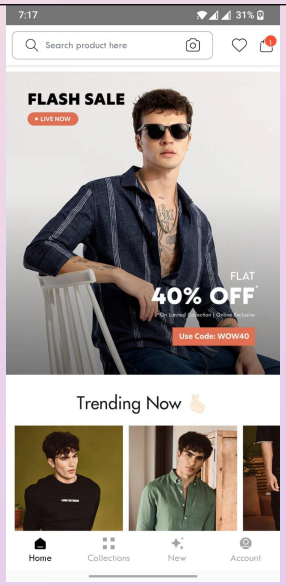
User research through Survey:

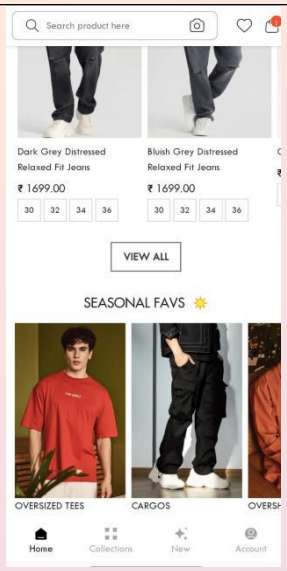
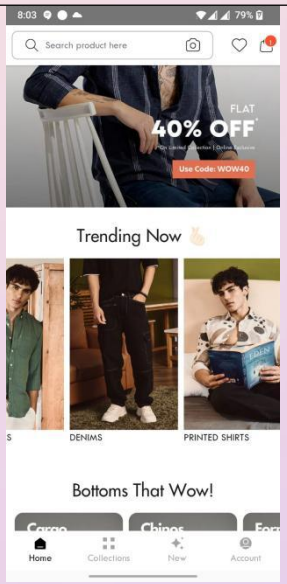
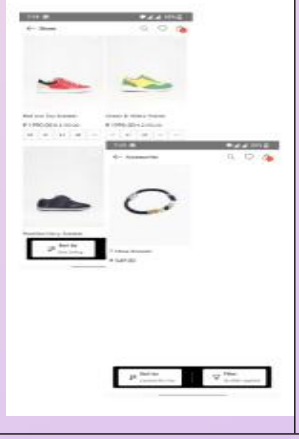


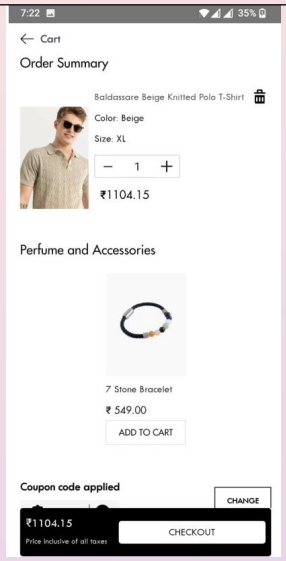
User Persona :



User Journey Analysis:

Serial No	User Journey	Device screen (Android)	Remarks/feedback	Metric to track
1	Opening the application		The app does not take much time to open.	Time taken to load the home page.
2	Home screen		It appears cluttered and somewhat disorganized.	Average time spent on the home page.

3	Personal recommendations		There are no personalized recommendations on the home screen; while recently viewed items are captured, they are placed in the last segment of the home screen.	Average time spent on this page and Number of selections made after spending time.
4	Trending and New arrivals		The user has to scroll deep to access trending and new arrival cloths.	Average time spent on this page.
5	Accessories collection		As of now it is poor when it comes to accessories.	No of items checked out/purchased

6	Return policies		The main return page doesn't display the return charges upfront; they are only revealed when you delve into the details.	Net promoter score.
7	Up selling / cross selling suggestions during checkout		Due to their limited accessories collection, they provide poor suggestions to customers for up selling and cross-selling opportunities.	Number of suggested items purchased along with the main order.
8	Payment Gateway		There is a slight delay before the payment gateway page loads.	No of successful payments / Average time spent on this page.

What are the key take away from the all the user research

As a Product Manager, the user research journey was a roller coaster with a mix of reactions. I explored various user research methods and conducted them thoroughly to gather valuable insights. Here are the key takeaways from the research.



Problem Identification and Prioritization

- **Unsatisfactory Return Policies:** The return policies are unclear and inconvenient, leading to customer frustration and diminished trust in the brand's commitment to satisfaction. Ex: Hidden charges of INR 100 applied to every order during returns
- **Unresponsive Customer Support:** Slow response times and unresolved issues from the customer support team result in negative experiences and a tarnished brand perception.
- **Limited Accessories Collection:** The sparse and varied range of accessories makes it challenging for customers to find complementary items that enhance their trendy apparel choices.
- **Poor Alignment of Accessories with Apparel**: The accessories offered do not complement the brand's fashionable clothing, resulting in missed opportunities for effective up selling and cross-selling that could enhance the shopping experience. For example, when checking out a shirt or t-shirt, the suggested items often include accessories rather than trousers or pants, leading to lower order values if the user opts for an accessory instead of a more valuable item like trousers.

- **Disappointing Online Shopping Experience:** Navigation difficulties, slow load times, and a lack of personalization contribute to an overall subpar online shopping experience, leading to customer dissatisfaction.
- **Ineffective Recommendation Algorithm:** The recommendation algorithm fails to deliver satisfactory suggestions, hindering the potential for personalized shopping experiences.
- **Overemphasis on Top-wear:** The application predominantly features top-wear, requiring customers to search separately for bottom-wear, which complicates the shopping process.
- **Affordability:** Affordability in pricing is crucial when considering the per capita income of Indian society. This is why emerging brands like Zudio and Style Union are making significant strides in the clothing market. They successfully provide a fashionable experience that aligns with current trends while offering trendy apparel at competitive prices and attractive promotional offers.

Prioritization of the task using RICE Framework

Problem to be Prioritized	Reach (Users/Month)	Impact	Confidence	Effort (Person-months)	RICE Score
Seamless Online Shopping Experience	10,000	3	0.9	3	9000
Ineffective Recommendation Algorithm	10,000	2	0.8	2	8000
Affordability	10,000	2	0.7	2	7000
Unsatisfactory Return Policies	8000	2	0.7	2	5600
Bad Up selling/Cross-Selling Suggestions	6000	2	0.7	2	4200

Unresponsive Customer Support	7000	2	0.7	3	3267
Overemphasis on Top-wear	5000	1	0.8	1.5	2666
Limited Accessories Collection	6000	1	0.8	2	2400

Brief about RICE frame work:

LEVELS	REACH	IMPACT	CONFIDENCE	EFFORTS	RICE Formula
HIGH	8K-10K	3	80%-100%	3	SCORE= R*I*C/E
MEDIUM	6K-8K	2	60%-79%	2	
LOW	<5K	1	<60%	1	

Summary of the RICE Framework

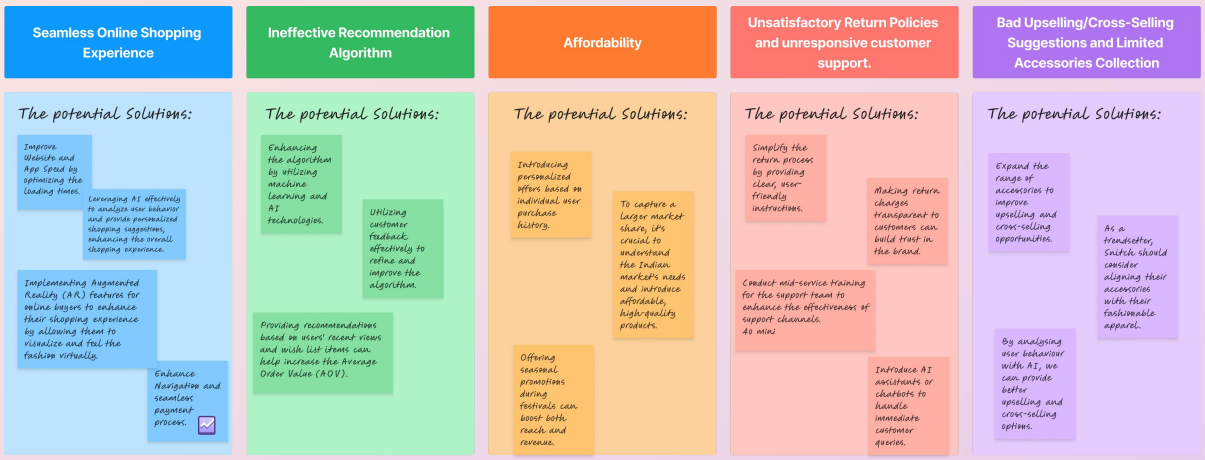
The prioritization analysis using RICE framework highlights that the most critical areas requiring immediate attention are the seamless online shopping experience and the effectiveness of the recommendation algorithm. These factors are pivotal because they directly influence user engagement, satisfaction, and overall conversion rates. Enhancing the online shopping experience by improving navigation, reducing load times, and integrating personalized elements can significantly elevate customer interaction, making the purchase journey smoother and more enjoyable. A refined recommendation algorithm will not only increase customer satisfaction by offering relevant product suggestions but also drive higher sales through strategic up selling and cross-selling, directly contributing to increased Average Order Value (AOV) and overall revenue.

Additionally, affordability remains a crucial element that can directly impact Snitch's market positioning, especially in price-sensitive markets like India. Aligning the pricing strategy with consumer expectations will attract a broader audience and enhance customer retention, making the brand more competitive against emerging players like Zudio and Style Union. Equally important is addressing the unsatisfactory return policies, which currently hinder customer trust and satisfaction. Transparent and customer-friendly return policies are

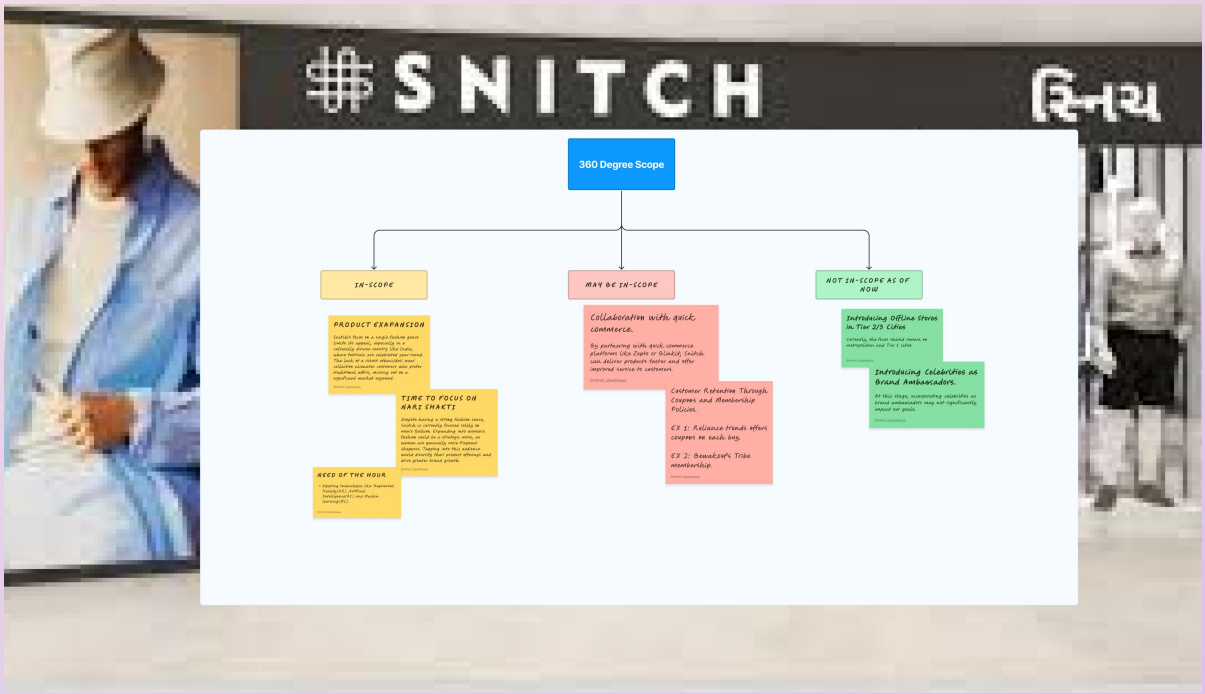
essential for fostering a positive post-purchase experience, which can lead to repeat business and long-term loyalty.

What are the potential solutions

Despite the growth, it is now crucial to focus on scaling current operations, enhancing user experience, and optimizing conversion rates. Below are the proposed solutions for the identified challenges



360 Degree Scope

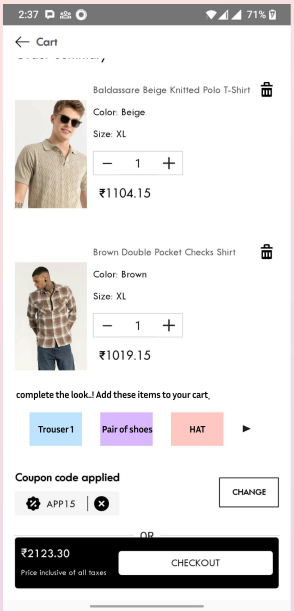


Basic Design Suggestions

- Providing relevant suggestions during checkout and recommending complementary items across all categories that align with the main order.

Shrihari_Upadhyaya

WIREFRAME 1



- Implementing augmented reality addresses multiple challenges by allowing users to virtually try on clothes and visualize themselves in the selected attire. This enhances the shopping experience, reduces return rates, and minimizes negative feedback related to fit and sizing issues.

Shrihari_Upadhyaya

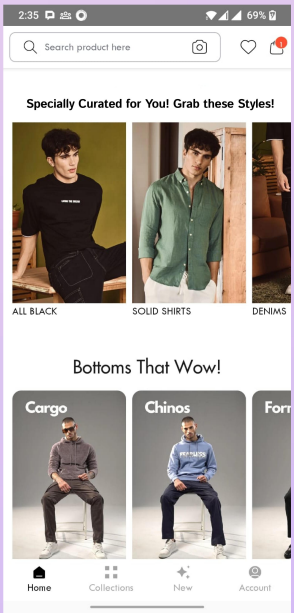
WIREFRAME 2



- Personalized recommendations on the homepage.

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WIREFRAME 3

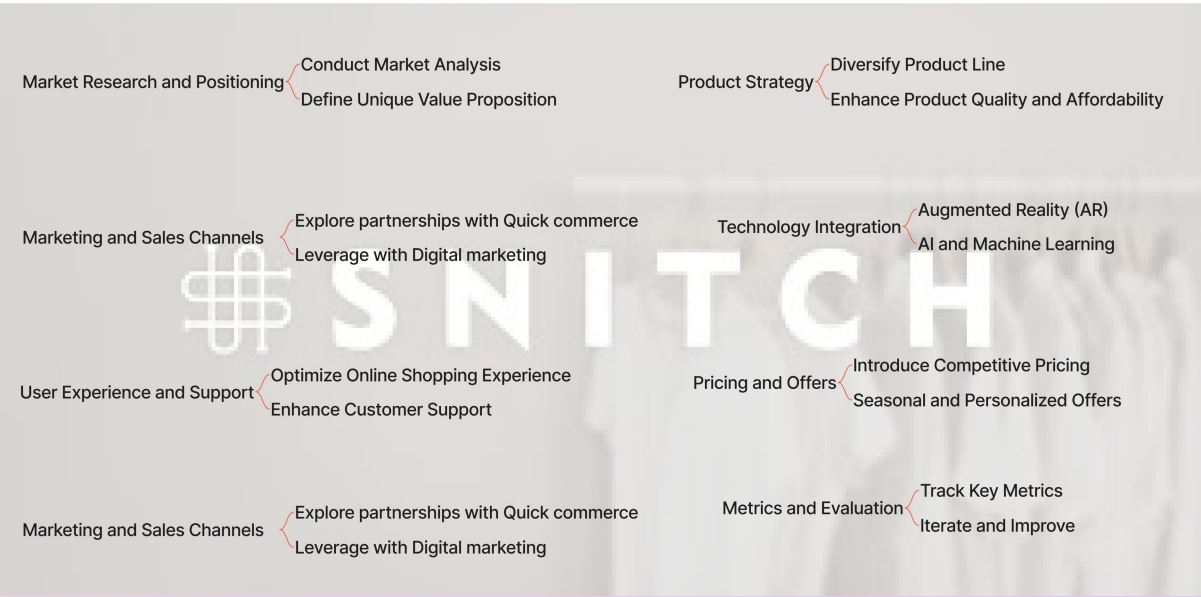


Potential Growth Loops

- **Product Diversification:** Expanding the product range to cater to all fashion enthusiasts, regardless of gender, to drive higher sales and increase AOV.
- **Strategic Marketing:** Leveraging targeted marketing campaigns to boost brand visibility, attract new customers, and enhance repeat purchases, directly impacting revenue growth.
- **Optimized User Experience:** Elevating the online shopping journey with seamless navigation and superior customer support to boost conversion rates and average basket size.
- **Technology Integration:** Utilizing AR, AI, and Machine Learning to offer personalized shopping insights, enhancing customer engagement, and driving up AOV and basket size.

Go - To - Market Strategy

The image below outlines the key components of the Go-To-Market (GTM) strategy, which should be incorporated based on our prioritized problems and the growth loops identified.



1. Pre-Launch (Research & Prep)

Timeline: 1-2 months

Key Activities:

- **Conduct In-Depth Customer Research**: Identify key customer segments by analyzing shopping behavior, purchase history, and demographic data.

- **Refine Product Offerings**: Focus on bundling products and creating higher-value items to boost average order size. Consider expanding the accessories collection to offer better up selling/cross-selling options.
- **Develop a Loyalty Program Framework**: Tailor a rewards system that provides personalized offers based on individual user purchase history to encourage repeat purchases and higher spending.
- **Set Up Necessary Tech Infrastructure**: Improve website and app performance by optimizing loading times, streamlining navigation, and ensuring a seamless checkout process. Introduce personalized shopping suggestions by leveraging AI and machine learning to enhance the recommendation algorithm and boost user experience.
- **Enhance Return Policies**: Simplify the return process with clear, user-friendly instructions, and make return charges transparent to build customer trust.

2. Launch Phase (Awareness & Engagement)

Timeline: 2-4 weeks

Key Activities:

- **Digital Marketing Campaigns**:
    - Launch targeted campaigns on Instagram, Facebook, and Google Ads to promote product bundles, loyalty programs, and personalized discount offers. Use influencer marketing to push offers like “Spend INR 5,000 and get free shipping/discounts.”
    - Highlight affordable, high-quality product lines tailored to Indian consumers' preferences to capture a broader market share.

- **Marketing via Email, SMS, and Push Notifications**:
    - Send personalized emails showcasing product recommendations based on users’ recent views and wish lists. This will encourage customers to explore new bundles and increase their order size.
    - Use push notifications to alert app users about exclusive offers for orders above INR 5,000, as well as seasonal promotions during festivals to drive engagement and revenue.

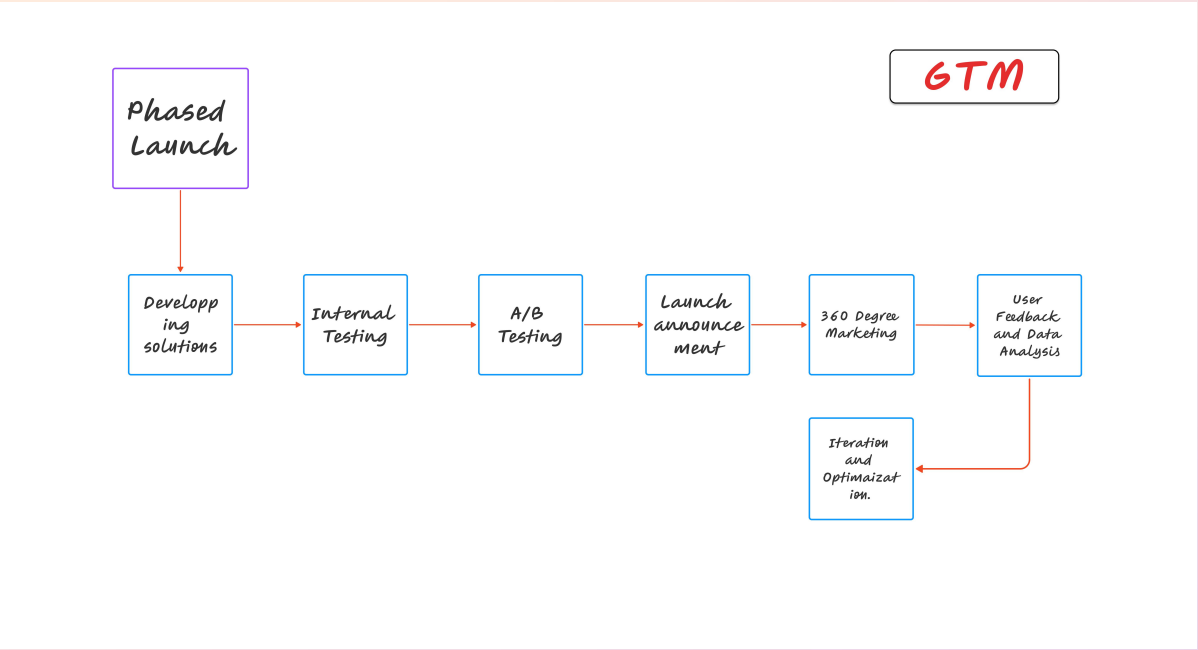
- **Loyalty Program Activation**:
    - Encourage loyal customers to engage with the rewards system by offering points or discounts for higher spending. Integrate AI-driven tools to provide personalized shopping suggestions and offers that enhance the user experience.

3. Post-Launch (Retention & Optimization)

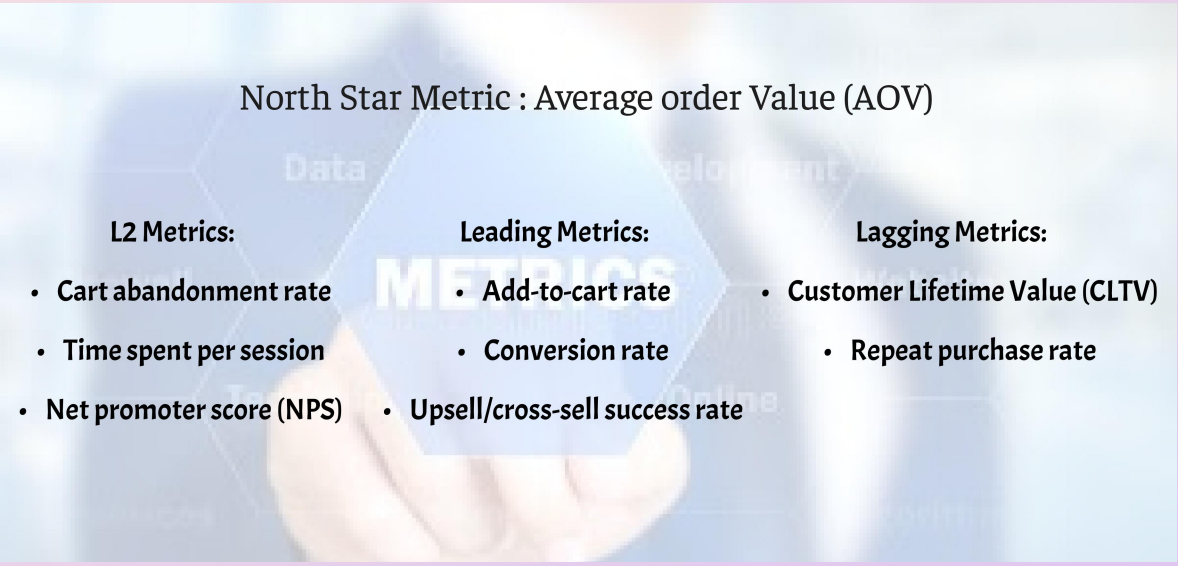
Timeline: Ongoing
Key Activities:

- **Monitor and Analyze**: Track AOV progress, customer feedback, and conversion rates to identify areas for optimization. Leverage AI to continuously improve the recommendation engine and up selling strategies by analyzing user behavior.
- **Refine Product Bundles**: Adapt bundles and promotions based on purchasing patterns, customer preferences, and seasonal trends to drive higher order values.
- **A/B Testing & Geo-Targeting**: Conduct A/B testing on different discount offers, and roll out promotions based on the geographic location of customers to maximize conversion rates.
- **Cart Re-targeting**: Re-target customers who have abandoned their carts with reminders of ongoing sales, loyalty rewards, or personalized offers.
- **Customer Support Improvement**: Implement mid-service training for the support team to enhance customer interaction and satisfaction. Introduce AI chatbots to handle common queries and improve responsiveness.

By enhancing the online shopping experience through AI-driven recommendations, optimizing product offerings, simplifying returns, and improving customer support, Snitch can successfully scale its operations and boost the Average Order Value, while capturing a larger market share.



Success Metrics :



Executive Summary

Snitch, a fast-growing men's fashion brand, seeks to increase its Average Order Value (AOV) from INR 2,500 to INR 5,000 over the next 12 months. Key challenges include an ineffective recommendation algorithm, a limited accessories collection, unsatisfactory return policies, and affordability issues. Competitor analysis shows brands like Bewakoof succeeding with

diverse product ranges, operational efficiency, and affordability, while Snitch's online shopping experience and customer support need improvement.

A RICE prioritization framework highlights improving the seamless online shopping experience and enhancing the recommendation algorithm as top priorities. Solutions include optimizing website and app performance, leveraging AI for personalized shopping suggestions, and refining the product offerings to promote bundles. Simplifying return processes and introducing transparent return charges are essential for improving customer trust.

The Go-To-Market (GTM) strategy involves three phases: pre-launch (customer research, refining product offerings, tech infrastructure setup), launch (digital marketing campaigns, personalized emails and push notifications, loyalty program activation), and post-launch (monitoring AOV progress, A/B testing, cart re-targeting, and customer support improvements). Snitch can achieve growth by addressing these challenges and leveraging AI to enhance personalization, boost user engagement, and drive higher AOV and revenue.

